

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE WETZEL

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**MOTION OF THE LONG DEFENDANTS FOR APPOINTMENT OF A RECEIVER
FOR DEFENDANT THE LANDINGS PROPERTY OWNERS ASSOCIATION, INC.**

Defendants/Third-Party Defendants Angela J. Arumpanayil, Trustee; Al A. Balaa; Cary S. Beck; Erika D. Beck; Andrea Belcher; Kenneth Belcher; Robert Boyd; Janet Boyd; Eric Lee Brown; Revecca M. Buckwalter; Aaron Burak; Allison Burak; Joseph R. Christopher; Cheryl K. Christopher; Kelly L. Clark; Christopher A. Clark; Charles and Dorothy Cochran Keystone Trust, Mark Cochran, Trustee; Marcell Codispoti; Peggy Codispoti; Paula C. Compton-Solie; Edward L. Cosby; Janice Cosby, Trustees; Derk D. Demaree; Anita M. Demaree; Joseph M. Depolo; Robin L. Depolo; Mark Driftmyer, Trustee; Linda L. Fritz; Marilou M. Fritz; Donald L. Garvic; Andreas Giakoumas; Ypatia Giakoumas; James Goodrich; Diane Goodrich; Deborah Hamilton; Adrienne

D. Harris; Jeffry D. Harris; Bharon Hoag; Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Cynthia Kosmos; James Kosmos; Robert S. Lebold; Jennifer Lebold; Richard Littleton; Vicki Littleton; Mark A. Long; Denise A. Long; Jesse L. Marlow; Jane C. Marlow; Hewlet McFarlane; Angela N. Merryman; Scott T. Miglin; Susan D. Miglin; Mount Vernon Nazarene University; Jeanne C. Mullendore; Stephen D. Mullendore; Chetan I. Patel; Chetna C. Patel; Diana L. Peterson; Randolph B. Plasse; Tina M. Plasse; Bradley Porter; Tonya Porter; Brian Przeracki; Kenneth Rhoades; Mary Rhoades; Ralph Shafer; Benjamin Snow; Mary Margaret Snow; Matthew Snow; Megan Snow; Phil Stopher; Ellen Stopher; Jeffrey Strickland; Rachel Strickland; Mark Tuel; Michael Ulrey; Rosemary Ulrey; Lawrence Vail; Nancy Vail; Alexander Varughese; Marcia J. Varughese; Brad Whitaker; Leslie Whitaker; Andrea White; Brian Williams; Dianne L. Williams; James Williams; and Timothy J. Williams (collectively, the “Long Defendants”) move, pursuant to R.C. 2735.01, and this Court’s Decision and Entry on Motions for Partial Summary Judgment, filed September 23, 2024, for the appointment of a receiver for defendant The Landings Property Owners Association, Inc. The Long Defendants further move that Christopher A. Clark be appointed by the court to serve as that receiver.

The grounds for this motion are set forth with more particularity in the following Memorandum in Support of Motion.

Respectfully submitted,

/s/ Stephen E. Chappellear

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MEMORANDUM IN SUPPORT OF MOTION

On September 23, 2024, this Court entered its Decision and Entry on Motions for Partial Summary Judgment (the “Decision and Entry”). On page 7 of the Decision and Entry, the Court stated:

The Court will set an immediate hearing for the appointment of a receiver for the corporation [The Landings Property Owners Association, Inc.], pursuant to a motion by any party in the case under R.C. 2735.01(A)(4),(6),(7) or (D).

By Journal Entry also filed on September 23, 2024, this Court scheduled a hearing for appointment of receiver for October 3, 2024, at 1:30 p.m.

To date, no party has filed a motion for appointment of a receiver.

A. LEGAL AUTHORITY FOR APPOINTMENT OF RECEIVER

As noted by this court in the Decision and Entry, R.C. 2735.01 “Appointment of Receiver” provides that a receiver may be appointed by a judge in the Court of Common Pleas in cases including:

After judgment, to carry the judgment into effect (R.C. 2735.01(A)(4));
When a corporation has forfeited its corporate rights (R.C. 2735.01(A)(6);
in all other cases in which receivers have been appointed by the usages of equity (R.C. 2735.01(A)(7).

R.C. 2735.01(C) states that a receiver appointed when a corporation has forfeited its corporate rights may be appointed to manage all the affairs of the corporation.

R.C. 2735.01(D) states that a receiver appointed after judgment, to carry the judgment into effect, or in all other cases in which receivers have been appointed by the usages of equity may be appointed to manage all the affairs of the corporation.

B. GROUNDS FOR APPOINTMENT OF RECEIVER

As noted on page 7 of the Decision and Entry, and as is undisputed, the Articles of Incorporation of The Landings Property Owners Association, Inc. were cancelled by the Ohio Secretary of State on February 29, 2015, for failure to file a statement of continued existence.

C. PURPOSE OF RECEIVER: BRING THE DAM INTO COMPLIANCE

The Third Amended Complaint seeks an order that the owners of the Knox Cattle Company Dam as declared by the Court bring the dam into compliance with Ohio's dam safety laws. In the Decision and Entry, this Court found as a matter of law that defendant The Landings Property Owners Association, Inc. is the owner of the land upon which the dam and the lake are situated. (Decision and Entry, pp. 6, 11.)

Under Ohio's dam safety laws, it is only a dam's owner who has the legal responsibility to bring their dam into compliance and the corresponding exclusive legal right to choose the option to do so (repair, modify, breach). (Counterclaim, ¶ 53; Answer, ¶ 53.)

The owner's responsibilities in correcting a deficient dam are set forth in Ohio Administrative Code Rule 1510:21-21-03. The owner is required to perform such repairs, improvements, or other remedial measures to the dam "as may be judged by the Chief [Ohio Department of Natural Resources, Division of Soil & Water Resources] as necessary to safeguard life, health, or property." Construction of corrective measures to dams must be accomplished under the inspection of a registered professional engineer.

However, as presently constituted, the owner of the dam, defendant The Landings Property Owners Association, Inc., is incapable of undertaking any action to bring the dam into compliance. In addition to having cancelled articles of incorporation, it does not have any members, trustees, directors, or officers. Someone has to be appointed to make decisions on behalf of The Landings

Property Owners Association, Inc., and to take necessary and appropriate actions on behalf of that entity to bring the dam into compliance.

D. THE PERSON APPOINTED AS RECEIVER SHOULD BE A LANDINGS PROPERTY OWNER

The person to be appointed to make those decisions, and to take necessary and appropriate actions of behalf of The Landings Property Owners Association, Inc. to bring the dam into compliance, should be a property owner in Phases VII or Phase VIII of The Landings.

If Mullins Bros. Ltd. had done what it promised to do in the Declarations it prepared and filed with the County Recorder, first, there wouldn't be this problem with the dam to begin with, but, second, there would be property owners who could control their own destiny by being in position to act on behalf of the owner of the dam.

The Declaration of Building and Development Restrictions for each of The Landing Development Phase VII and The Landing Development Phase VIII provide, in Section 4(V):

Developers shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc. This corporation shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance.

Through no fault of their own, to this date, the Long Defendants have not had any opportunity to be involved in any way in the management of the owner of the dam, the Landings Property Owners Association, Inc. While the Declarations stated that Mullins Bros. Ltd. was obligated to require the owners of all lots to become members of a non-profit corporation known as The Landings Common Area Association, Inc., this never happened. Instead, Mullins Bros. Ltd. set up a different corporation, The Landings Property Owners Association, Inc., and transferred title of the land where the lake and dam are situated to that entity. Then, Mullins Bros. never prepared a code of regulations for the owner of the dam, or created a board of trustees,

officers, nor members. Mullins never told any of the lot owners that it had transferred ownership of the land on which the lake and dam are situated to The Landings Property Owners Association, Inc. Mullins never told any of the lot owners that it had created a corporation known as The Landings Property Owners Association, Inc. Mullins never notified the Chief of the Ohio Department of Natural Resources, Division of Soil & Water Resources, of a change in ownership of the dam prior to the transfer of title in 2007. Mullins never amended either declaration to state that owners of lots in Phases VII and VIII would be required to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc.

The Long Defendants should not be further harmed by the failings of Mullins by being taken outside the decision making process for what gets done with the dam. The proper way to ameliorate the harm caused by Mullins is to appoint someone as receiver who would have been making the decisions on dam compliance if Mullins had done what it promised to do, and that is to appoint as receiver a property owner in Phase VII or VIII of The Landings; not an outsider who has no vested interest in the dam.

R.C. 2735.02 states that “priority consideration” shall be afforded to a qualified person nominated by the party seeking the receivership. The statute further provides that a party in an action may be appointed as a receiver by consent of all of the parties to the action. The Long Defendants seek consent of other parties to expedite the process and provide fairness.

The appointment of a receiver is a procedure that “is the exercise of an extraordinary, drastic, and sometimes harsh power which equity possesses and is only to be exercised where the failure to do so would place the petitioning party in danger of suffering irreparable injury loss or injury”, *Mehweld v. Atlantic Tool & Die Co.*, 2023-Ohio-2778, ¶ 18. “A court in exercising its discretion to appoint or refuse to appoint a receiver must take into account all the circumstances

and facts of the case, the presence of conditions and grounds justifying the relief, the ends of justice, the rights of all the parties interested in the controversy and subject matter, and the adequacy and effectiveness of other remedies.” *Id.* at ¶ 22.

Here, the circumstances and facts of the case, the ends of justice, and the rights of all the parties suggest that the appropriate person to be appointed as receiver would be a property owner who would in normal circumstances been in a position to act on behalf of the corporation

E. C. ADAM CLARK SHOULD BE APPOINTED AS RECEIVER

As noted in the Decision and Entry, the Long Defendants represent the owners of all but six lots of the 35 Phase VII lots and all but six of the 40 Phase VIII lots. (Decision and Entry, p. 3.)

The Long Defendants request that this court appoint C. Adam Clark to serve as the receiver. Mr. Clark is a representative of similarly situated property owners in Phases VII and VIII of The Landings, and is supported as potential receiver by the other property owners. He is well suited and qualified for this role.

Mr. Clark owns Lot 809 in Phase VIII of The Landings, with a street address of 76 Woodlake Trail, Mount Vernon, Ohio 43050. He has owned this property for over twelve years.

Mr. Clark has been a member of the Homeowners Association for lot owners of Phases VII and VIII of The Landings, The Landing Development Phase VII and VIII Property Owners Association, Inc., since it was formed August 27, 2012.

Mr. Clark has been intimately involved in this lawsuit since he and other property owners became parties to this litigation. As such, he is familiar with the facts and issues in this case.

Mr. Clark has over 35 years of experience in construction and business. He works as a Certified Project Management Professional. He works with Orion Systems Integrators as Project Manager for AEP Capitol Projects within the Columbus and Northwest Ohio Region, where he

manages teams of engineers, finance, scheduling, right of way, environmental, and construction contractors. He has a degree in business administration, with honors, from Mount Vernon Nazarene University. Mr. Clark's academic and work background are summarized on the professional resume attached hereto as Exhibit A.

As a property owner in Phase VIII of The Landings, Mr. Clark has a vested interest in working with the State of Ohio to promptly complete whatever work is necessary to remediate the Dam. He is committed to, and available for, immediate action recognizing the importance of upcoming deadlines.

Respectfully submitted,

/s/ Stephen E. Chappellear

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CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 2nd day of October, 2024.

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Summary of Qualifications

Proactive, Certified *Project Management Professional* with a proven track record in various industries and companies

- Experienced with SAP, Microsoft Office Suite, Hyperion, Open Plan and numerous other software packages
- Strong analytical ability to see, understand, and document business problems and implement effective solutions
- Demonstrates supervisory skills as well as an ability to implement a plan to improve an organization

Professional History

Orion Systems Integrators – Contractor for **American Electric Power** April 2019- Present

Project Manager for AEP Capitol Projects within the Columbus and NW Ohio Region

- Managed several \$10M+ Station Security Projects, Transmission Line Rebuilds, Distribution station upgrades, and a new Distribution station project.
- Managed several teams of engineers, finance, scheduling, right of way, environmental, and construction contractors to successfully in-service these projects on time and on budget.

Siemens Energy Inc. –

Project Manager

Dec. 2014 - Sept. 2018

- Managed Oil and Gas equipment projects ranging from \$100k to \$22M in value.
- Supplied Air Filtration /Chiller Coil upgrade project in Ashdod, Israel on time and on budget.
- Provided PM expertise for 3 compressor station relocations in Alberta, Canada for TransCanada Pipeline.
- Delivered gas compressors, control panels, and other equipment for 2 offshore platforms in Thailand for Chevron.
- Successfully supplied control panel and fire/gas detection system with turnkey installation for Northern Border Pipeline in North Dakota USA. The team was challenged with a tight 2-week installation window.
- Timely completion of a complete control panel upgrade on a ship (FPSO) for Husky Energy St. Johns, Newfoundland while at Sea.
- Complete Power Turbine Spares replacements for several Gas Generator packages in Brazil for Petrobras platforms.
- Lead Project Manager for all aftermarket projects for Union Gas in Ontario, Canada.
- Specialty software upgrade for TransCanada Turbines new control panel. This would enable their test facility to test any jet engine manufactured by Rolls-Royce.

Rolls-Royce Energy Systems Inc.

Project Manager / PM Office

Oct. 2008 - Dec. 2014

- Provide Rules, Tools, Training & Governance for New Unit and Engineered Solutions projects
- Risk Coordinator & Facilitator for projects, Trained in Internal Auditing, 7-step problem solving and Customer First Program
- Part of the **SAP** implementation team in 2005 and Key User in Finance and Project Management.

Financial Controller-Americas Region

Feb. 2005-Oct. 2008

Senior Operations Analyst

Apr. 2001-Jan. 2005

- Prepare financial statements monthly, annual budget, and quarterly forecasts

- Support multiple functional departments and Eng. Solutions projects with financial reviews and analysis
- Create and enforce policies and procedures within the business
- Review Project contracts, identify risks and opportunities, financial leadership provided to business

Voyager.net/ComNet USA LLC/Axiom Technologies - V.P. Finance & HR ***Apr. 1999-Mar. 2001***

- Spearheaded the financial consolidation of the ComNet group of four companies into Voyager.net
- Responsible for all accounting and human resource issues, monthly financial and cash flow reporting
- Led the fixed asset inventory valuation and tagging project for Voyager. Audited all locations in Ohio, Indiana, Wisconsin, and Michigan and updated the asset database.
- Established vendor relationships, set up credit card and banking services for ComNet
- Co-developed and Implemented employee handbook for ComNet USA
- Responsible for payroll, purchasing, billing, and collection of outstanding receivables

VicWest Steel Financial Controller/HR Manager ***Jan. 1991 - Mar. 1999***

- Prepared financial statements, annual budget, and quarterly forecasts
- Maintained general ledger and supervised accounting department
- Managed fixed assets and purchasing responsibilities, Prepared majority of corporate tax returns
- Administrator for employee benefits, workers compensation, and safety committee
C.A.R.E. Leader (Customer Assurance Resource Engineer): Responsible for the overall functioning of the facility by utilizing all assets available to ultimately satisfy our customers. Called on customers, resolved complaints and insured proper paper flow through system.

Cooper Energy Services Inventory Control Technician ***Nov. 1989-Dec. 1990***

- Responsible for general administration and control of \$20M aftermarket inventory.

Western-Southern Life Insurance Co. Sales Agent ***Sept. 1988-Oct. 1989***

Education

Mount Vernon Nazarene University, Mount Vernon, Ohio ***Completed May 1988***

Bachelor of Arts Degree in Business Administration: Concentrations in Financial Management & Psychology

Scholarships and Honors: Top Ten Honor Scholarship, Dean's List, President of Students in Free Enterprise (S.I.F.E.), Presenter at National S.I.F.E. competition in Atlanta, Georgia (1988)

Member and officer of Toastmasters -2014-2018 Received Competent Communicator and Leader Awards

Six Sigma Green Belt in Process Excellence -2011

Extensive training and accreditation in Project Management by both Siemens 2015 and Rolls-Royce 2012

Community Service

Notary public, State of Ohio

United Way & Salvation Army Volunteer, Active in local area church volunteer projects

Former Member of Chamber of Commerce, Area Development Foundation, Knox County Safety Council